

Spending and contracts

Working draft. Not adopted law. Not a legal opinion.

29 September 2026

In plain words

- No one person can spend the Nation's money alone.
- Big contracts go out for public bids.
- Contracts with leaders or their family need extra steps and are posted.
- Members see a list of every contract every month.

Why this draft is here

One person with a chequebook and no second signature is how money goes missing, even with good people in the job. These limits make every payment need more than one set of hands.

1. Purpose

- 1.1** This code sets who may commit the First Nation's money. The dollar amounts are draft numbers. Electors may change them before they adopt the code.
- 1.2** If council also wants this code made as a money by-law, Indian Act section 83 applies, including the Minister's approval. The constitution, Part 6, sets that path. Until then, this code binds office holders and staff as a condition of office and employment.

2. The limits

- 2.1** Every commitment of money must meet this table before anyone signs:

Amount	What must happen first	Deadline
\$10,000 or less, inside the budget	The finance officer and one other authorized person both sign. The person getting the money never signs.	Same day. Both names on the voucher.
More than \$10,000 up to \$25,000	Both signatures, plus a yes vote of council at a meeting with quorum.	The resolution is posted before anyone signs.
More than \$25,000	The council vote, plus a public call for bids posted for at least 14 days. The winner and the reason are posted.	Bids open 14 days before signing. Winner posted within 14 days after.
More than \$500,000 in one project or one year	All of the above, plus a member vote: majority of votes cast with at least 25 percent of electors voting.	Vote held on 21 days' notice before signing.

- 2.2** A commitment that skips a step is void. The person who signed it may not sign another commitment until the void one is reversed or repaid. Repayment is due within 30 days.

- 2.3 Splitting one purchase into smaller pieces to stay under a limit is the same as skipping the step.
- 2.4 A payment listed with its amount in a budget the electors approved still needs the signatures, the resolution over \$10,000, and the call for bids over \$25,000.

3. Cards, family contracts, and single suppliers

- 3.1 No card in one person's name may have a limit over \$10,000 a month. The finance officer reconciles every card within 15 days of the statement. A charge with no receipt by then is a debt of the cardholder, due within 30 days. If reconciliation is late, the card is cancelled on day 16 and the appeal body is told the same day.
- 3.2 A contract with the chief, a councillor, an employee who can spend, or their immediate family is not allowed unless all of these happen first: the person leaves the decision, the appeal body approves the contract in writing, and the contract is posted for 14 days.
- 3.3 If a step is skipped, the contract is void and payments stop within 2 days. Money already paid is repaid within 30 days, unless the appeal body finds the First Nation got fair value and the electors approve the payment within 60 days.
- 3.4 The appeal body may certify in writing, before signing, that only one supplier can do the work, and must give reasons. A false certification removes the person who signed it from spending authority for the rest of the term.

4. What members see

- 4.1 The finance officer posts a contract list every month, within 15 days after the month ends: who got paid, how much, the budget line, and the resolution number.
- 4.2 Names of members getting a personal program payment are not posted. The program and the total are.
- 4.3 If the list is late, new commitments over \$10,000 stop until it is posted.

5. Changing this code

- 5.1 Council must not amend or suspend this code by resolution. A resolution that tries to is void on the day it is signed, and the appeal body posts that within 14 days.
- 5.2 An amendment passes under the constitution, Part 9: a majority of the votes cast are yes, and at least 25 percent of all electors cast a ballot.
- 5.3 An amendment that removes or weakens a protected rule listed in the constitution, Part 8, passes only if at least two thirds of the votes cast are yes and at least 40 percent of all electors cast a ballot.
- 5.4 The electoral officer posts the full proposed text and a plain summary at least 45 days before the vote, sends it to every elector with a known address, and posts the count within 3 days.

6. Review and coming into force

- 6.1 This code comes into force on the day after the electors approve it under the constitution, Part 9. Until then it is a draft. It does not repeal any election code, by-law, or policy already in force.

- 6.2 Where a law already in force sets its own rule for being replaced, the vote must meet that rule too. A lawyer should compare the two texts before the vote.
- 6.3 The appeal body reviews this code every 4 years from the day it comes into force and posts a written report within 60 days after that anniversary.
- 6.4 Within 90 days of that report, council either puts a recommended amendment to the electors or posts written reasons for not doing so. If council does neither, council honoraria stop on day 91 until one of those is done.
- 6.5 The records officer keeps the adopted text and its plain summary posted for at least 10 years.

Before members vote

This is not legal advice. A lawyer, or a person who works in First Nation governance, should review this draft before members vote. A by-law that conflicts with the Indian Act, the Criminal Code, or other federal law has no effect to the extent of the conflict. Police and prosecutors do not always enforce band by-laws, and the Minister's powers under the First Nations Financial Transparency Act, section 13, are optional. That is why the consequences in this draft are internal: office, pay, repayment, and eligibility.